

Beijing Kingsoft Office Software, Inc. - A

AI extends the productivity growth runway; assume coverage at Overweight

We assume coverage of Kingsoft Office with an **Overweight** rating and a Rmb325 Dec-27 price target, based on 45x 2028E P/E. We expect a longer growth runway as AI expands WPS from document software into broader knowledge work, while personal monetization and WPS365 provide two visible growth engines. Personal revenue growth accelerated to 15.2% YoY in 1H26, WPS365 sustained 60%+ growth for the sixth consecutive quarter and adjusted attributable net profit increased 28.3%, ahead of revenue. As model intelligence becomes cheaper and more widely available, we expect differentiation in productivity software to shift towards distribution, persistent document and enterprise context, and native execution, where Kingsoft Office has meaningful existing assets. We forecast 2026-28E revenue and core profit at 5%/11%/8% and 10%/2%/2% above consensus, respectively. The shares remain expensive against China software and global SaaS peers, but valuation is less demanding against the company's own history. **We expect the relative premium to remain broadly stable, with earnings growth driving upside, while the absolute multiple continues to normalize.**

- **AI expands the opportunity while personal monetization is already reaccelerating.** WPS historically monetized document creation and editing; AI allows it to participate more directly in research, analysis, information retrieval, presentation creation and spreadsheet processing. Personal revenue increased 15.2% YoY in 1H26 versus 8.4% in 1H25, while paid individual users increased 15.4% against 3.9% growth in global MAU. This suggests conversion and spending per user are becoming more important as the installed base matures. The emerging 'subscription + AI usage' model provides another route to ARPPU growth, supporting our expectation that personal monetization remains stronger for longer than consensus assumes.
- **WPS365 strengthens the assets that should retain value as intelligence commoditizes.** Models can increasingly replicate individual productivity features, while WPS retains large-scale distribution, persistent document state and native editable execution. WPS365 adds enterprise knowledge, permissions, collaboration, security and system connectivity, extending the company's position further into enterprise workflows. WPS365 revenue increased 60.8% YoY in 1H26 and has sustained 60%+ growth for six consecutive quarters. Comate further connects models with enterprise knowledge, data and business systems. We expect WPS365 revenue to normalize gradually and remain materially above group growth through our forecast period.
- **Our Overweight rating is primarily an earnings call, with limited reliance on rerating.** Kingsoft Office trades at around 40x 2027E P/E, a meaningful premium to most China software companies and many global SaaS peers, but its historical forward P/E of approximately 94x/77x/76x/71x/53x in 2021/22/23/24/25 shows that the current valuation already reflects substantial absolute normalization.
- **Risks include** slower-than-expected progress in software localization, and slower-than-expected growth of paying subscribers. Upside risks include faster-than-expected execution on software localization, and faster-than-expected monetization on coordination applications.

▲ Overweight

Previous: Underweight

688111.SS, 688111 CH

Price (23 Sep 26): Rmb226.60

▲ Price Target (Dec-27): Rmb325.00

Prior (Jun-25): Rmb130.00

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Reported EPS - 26E (Rmb)	4.89	7.39	51.2%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	60	66	64	68	58
Growth	36	36	36	15	22
Momentum	56	66	61	7	75
Quality	52	27	38	43	59
Low Vol	61	84	87	89	85
ESGQ	15	3	1	3	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 20 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 688111.SS Price (Rmb) SHCOMP (rebased)

	YTD	1m	3m	12m
Abs	-26.2%	-5.8%	5.2%	-23.3%
Rel	-25.4%	-6.6%	9.3%	-26.3%

Company Data

Shares O/S (mn)	464
52-week range (Rmb)	415.00-200.00
Market cap (\$ mn)	15,689
Exchange rate	6.70
Free float (%)	42.6%
3M ADV (mn)	9.44
3M ADV (\$ mn)	341.2
Volatility (90 Day)	50
Index	SSE
BBG ANR (Buy Hold Sell)	27 1 2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	5,929	7,460	9,368	10,862
Adj. EBIT	1,947	3,811	3,274	4,031
Adj. EBITDA	2,036	3,923	3,414	4,189
Adj. net income	1,803	3,396	2,706	3,350
Adj. EPS	3.90	7.32	5.83	7.22
BBG EPS	4.08	6.59	5.80	7.08
Cashflow from operations	2,502	2,846	3,500	3,953
FCFF	2,404	2,697	3,313	3,747
Margins and Growth				
Revenue Growth Y/Y (%)	15.8%	25.8%	25.6%	16.0%
EBIT margin	32.8%	51.1%	34.9%	37.1%
EBIT Growth Y/Y (%)	11.8%	95.8%	(14.1%)	23.1%
EBITDA margin	34.3%	52.6%	36.4%	38.6%
EBITDA Growth Y/Y (%)	12.3%	92.7%	(13.0%)	22.7%
Net margin	30.4%	45.5%	28.9%	30.8%
Adj. EPS growth	15.7%	87.9%	(20.3%)	23.8%
Ratios				
Adj. tax rate	6.7%	10.6%	15.0%	15.0%
Interest cover	-	-	-	-
Net debt/Equity	-	-	-	-
Net debt/EBITDA	-	-	-	-
ROE	14.9%	23.8%	16.1%	17.5%
Valuation				
FCFF yield	2.3%	2.6%	3.2%	3.6%
Dividend yield	0.6%	0.6%	0.8%	1.0%
EV/Revenue	17.8	13.8	10.7	9.0
EV/EBITDA	51.7	26.3	29.4	23.3
Adj. P/E	58.2	31.0	38.9	31.4

Summary Investment Thesis and Valuation

We rate Kingsoft Office Overweight as WPS combines large-scale distribution, document context and ownership of recurring knowledge-work workflows. AI can expand the addressable pool beyond document editing towards research, writing, presentation, collaboration and information processing, while falling model costs should reduce the cost of delivering these capabilities. We believe WPS's installed user base provides a strong distribution advantage as intelligence becomes increasingly interchangeable. Continued WPS365 revenue growth and AI paid conversion would demonstrate that broader AI usage is translating into incremental customer spending and gross profit, supporting sustained earnings growth and a premium valuation.

Our Dec-27 PT of Rmb325 is based on 45x 2028E P/E. We apply a target multiple of 45x, which is at a premium to other application peers, to reflect Kingsoft Office's superior profitability, cash generation, and growth durability, as well as its differentiated distribution and workflow ownership in knowledge work.

Performance Drivers

Market	10%
Region	7%
Macro	15%
Style	9%
Idiosyn.	59%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.50	0.39
Region: China	0.70	0.33
Macro:		
JPM Global Equity Sentiment	0.24	0.33
US 10 Year Yield	0.24	0.17
JP Morgan EMBI Global Spread	-0.18	-0.17
Quant Styles:		
Size	-0.61	-0.40
Momentum	-0.53	-0.25
Quality	-0.03	-0.18

Industry: AI expands the addressable productivity workload

Productivity software has relatively high exposure to improvements in general-purpose models. Writing, translation, summarization, presentation generation and basic spreadsheet analysis are increasingly within the capability of foundation models. The same improvement in intelligence, however, expands the amount of work that productivity applications can address. Traditional Office software primarily monetizes access to tools used by employees to create and process documents. AI allows these applications to participate more directly in research, analysis, information retrieval, content creation and other knowledge work – expanding the economic pool beyond conventional software functionality.

This creates a potentially larger opportunity for Kingsoft Office. WPS already sits within the daily workflow of hundreds of millions of users, giving the company an existing distribution base through which new AI capabilities can be delivered. The opportunity depends increasingly on how much additional work each user performs through WPS and how effectively that activity can be monetized, alongside continued growth in the user base.

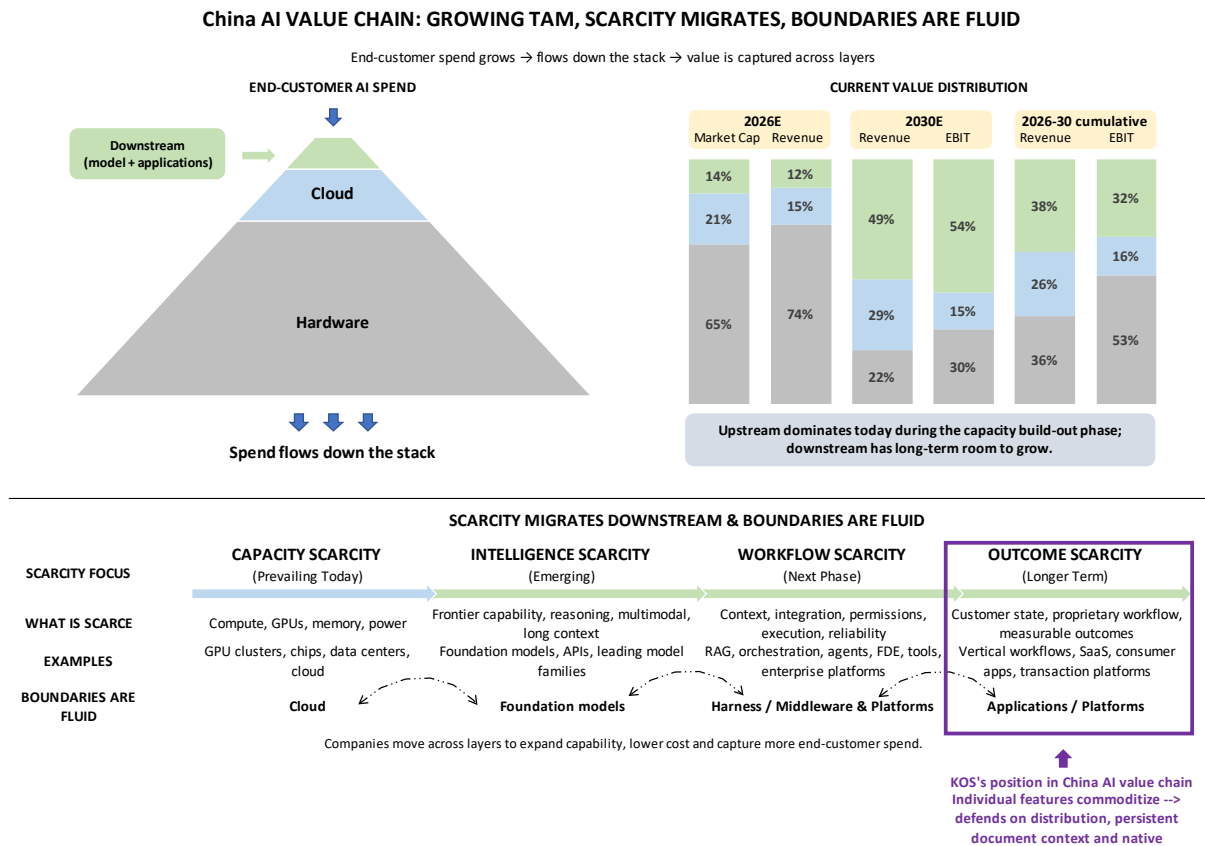
Agents could accelerate this transition. As software performs more work directly, the number of human seats required for a given level of output could decline, while the amount of software activity generated by each user or agent increases. This makes pure seat-based monetization a less complete measure of the opportunity. Kingsoft Office is already exploring “subscription + AI usage” for individuals and “seat + AI usage” for enterprises, allowing customer spending to reflect both access and consumption.

Lower model costs can also improve application economics. As capable models become more interchangeable, applications can potentially route workloads across providers and benefit from declining intelligence costs. If WPS retains the customer workflow and captures a share of the value or volume of work performed, lower inference costs can support incremental gross profit while making a broader range of workloads economical to automate.

We therefore see AI expanding the addressable market for productivity software despite increasing pressure on individual product features. For Kingsoft Office, the opportunity comes from combining its existing distribution with a broader set of knowledge-work use cases and gradually increasing monetization per user and per workflow.

For more broad-based industry discussions, please refer to our China AI value chain industry note: [China AI value chain: The expanding pie and race for value: Initiate broader coverage](#).

Figure 1: Kingsoft Office's position in China AI value chain



Source: Bloomberg Finance L.P. (data as of Sep 11, 2026), J.P. Morgan estimates.

Company and business model: a second transition from subscription toward AI monetization

Kingsoft Office has already undergone a significant business-model transformation. The current phase adds two further sources of growth: enterprise SaaS through WPS365 and incremental AI monetization across both personal and enterprise customers. Personal revenue increased 15.2% YoY to Rmb2.0bn in 1H26, accelerating from 8.4% growth in 1H25. The divergence between paid users and aggregate MAU suggests monetization is increasingly carrying the growth burden as the installed base matures. Personal revenue should therefore become progressively less dependent on headline user growth. Paid penetration still has room to increase, in our view, while membership mix and AI usage create opportunities to lift spending per paying user. Management's "subscription + AI usage" model could add incremental revenue above the standard membership fee as users consume more intelligence through research, analysis, presentation creation and other higher-value workloads. **We expect these drivers to support mid-teens personal revenue growth over our forecast period, which is more constructive than consensus.**

WPS365 provides a second structural growth engine. Revenue increased 60.8% YoY to Rmb497mn in 1H26 and has maintained growth above 60% for six consecutive quarters. WPS Comate extends this proposition by connecting enterprise knowledge, data, business systems, model resources and security governance. We expect WPS365 revenue growth to moderate as its base expands while remaining materially above consolidated growth through 2028E. Overseas provides additional optionality. Personal revenue reached approximately US\$26.1mn in 1H26, increasing 43.8% YoY, while overseas PC MAU increased 38.1%. The absolute revenue contribution remains relatively small, and our core estimates assume only gradual improvement in monetization.

We believe Kingsoft Office is entering a new phase in which personal subscription remains a meaningful growth contributor, WPS365 adds a fast-growing recurring enterprise business and AI introduces usage as an incremental monetization mechanism.

Figure 2: WPS 365



Source: Company 2025 annual report (data as of Mar 26, 2026).

Scarcity: Distribution, context and execution become more important as intelligence costs fall

The source of differentiation within productivity software is changing. Kingsoft Office retains several assets that are more difficult to replicate. WPS has 676mn global MAU and established usage across document creation and editing. Persistent document state and native execution provide a second layer. WPS owns the underlying document environment and can turn model output into native files that remain part of the user's workflow. WPS365 adds enterprise context. Comate's access to enterprise knowledge, data and business systems therefore creates a more customer-specific layer than generic model intelligence. As more enterprise work is completed through WPS365, these accumulated relationships and context can deepen switching costs and retention.

The migration in scarcity also changes the financial model. Revenue growth can become less dependent on MAU or seat growth if existing users perform more work and pay for AI consumption. A larger WPS365 contribution should increase recurring enterprise revenue and visibility. At the same time, AI introduces usage-linked inference costs into a business that historically had limited variable software costs, making the relationship between AI monetization and intelligence cost increasingly important for gross margin. Falling model prices are potentially favorable in this context. Kingsoft Office can benefit from lower intelligence costs if customer willingness-to-pay remains linked to the completed workflow or usage. The company's economics would then depend increasingly on the spread between incremental customer spending and the cost of intelligence consumed.

We therefore expect Kingsoft Office's differentiation to rely progressively on its distribution, persistent document state and native execution. WPS365 adds enterprise knowledge, permissions and system connectivity, which should be harder for a standalone model or new productivity application to replicate.

Defensibility and value capture: workflow ownership determines how much of the AI opportunity WPS retains

Kingsoft Office still faces meaningful disruption risk despite these advantages. The competitive question is how much of the customer relationship WPS retains as the interface to knowledge work evolves. If users initiate tasks through Lingxi or Comate, Kingsoft Office can combine models, customer context and native document execution within its own environment. This gives the company greater ability to monetize subscription, AI usage and potentially a broader portion of the workflow. General-purpose agents could also become the primary interface for some tasks. In this scenario, Kingsoft Office can retain underlying software consumption while capturing a smaller share of the customer relationship and incremental spending. Agent adoption could therefore reduce direct human interaction with WPS without producing an equivalent decline in software usage.

Lingxi and Comate are important because they increase the probability that WPS retains more of the workflow. Their strategic value should ultimately be assessed through recurring user behavior and monetization instead of the breadth of AI functionality alone. The financial evidence is becoming more constructive. Personal revenue increased 15.2% in 1H26 while global MAU grew 3.9%, indicating stronger monetization of the installed base. Paid individual users increased 15.4%, while WPS365 revenue increased 60.8%. Management is also introducing usage-linked pricing across personal and enterprise offerings, creating a direct mechanism for higher AI consumption to translate into revenue.

The next test is whether this monetization generates incremental gross profit. AI introduces model and inference costs, so stronger usage creates shareholder value when incremental customer spending exceeds the associated variable costs. Declining model prices should improve this relationship, while greater workflow ownership can support customer willingness to pay. We would therefore place increasing weight on paid conversion, ARPPU and AI usage revenue in the personal business, and WPS365 growth, NRR, AI attach and Comate adoption in enterprises. Over time, we believe incremental AI gross margin and revenue reacceleration provide the strongest evidence that Kingsoft Office is converting its workflow position into durable value capture.

Figure 3: WPS Comate illustration



Source: Company website (as of Sep 11, 2026).

Figure 4: WPS Comate illustration



Source: Company website (as of Sep 11, 2026).

Case study: AI monetization is becoming more visible, while Microsoft validates the size of the opportunity

Kingsoft Office does not disclose AI revenue separately, but the evidence of commercialization is becoming clearer across usage, conversion and pricing. WPS AI MAU exceeded 80mn at end-2025, while daily token consumption surpassed 200bn and increased more than 12x YoY. In 1Q26, management said AI product upgrades supported higher WPS AI MAU, paid conversion and customer spending. Personal revenue then increased 15.2% YoY in 1H26, versus 10.4% in 2025 and 8.4% in 1H25. Paid individual users increased 15.4%, well ahead of 3.9% growth in global MAU. We see this gap as early evidence that growth is shifting from user expansion towards deeper monetization of the installed base.

Enterprise commercialization provides a second growth path. WPS365 revenue increased 64.9% in 2025 and 60.8% YoY in 1H26, marking six consecutive quarters of more than 60% growth. AI is also becoming more integrated into the enterprise product. WPS365 combines documents, collaboration, enterprise knowledge and permissions, while Comate links models with internal data and business systems. This allows AI to move from content generation towards workflow execution. WPS365's flagship package is currently priced at Rmb599/user/year and includes broader AI capabilities, compared with Rmb199-399 for lower tiers. This creates a clear path for AI to support package upgrades before usage-based pricing becomes material.

Microsoft provides an important benchmark for the long-term revenue pool. Microsoft 365 Copilot is priced at around Rmb232/user/month for enterprise customers in China-facing commercial channels, or about Rmb2,784 per year before the underlying Microsoft 365 license. The product comparison is not fully like-for-like, but the pricing gap remains large relative to WPS365's Rmb599/year flagship package. We believe this shows that productivity AI can support a separate software budget when customers see clear workflow value. It also suggests that Kingsoft Office has room to raise monetization if AI improves productivity and completes more work for users.

Microsoft also helps define KSO's current competitive window in China. Microsoft sells Copilot through its global commercial offering, while Microsoft 365 operated by 21Vianet remains a separate local service with a different feature set. We believe such a difference matters for customers that require local deployment, domestic infrastructure, data control or Xinchuang compatibility. Kingsoft Office is already well positioned in these environments. WPS365 supports domestic hardware and operating systems, private deployment and enterprise security controls. This gives KSO time to build deeper customer context and workflow integration before Microsoft's local offering reaches broader feature parity.

We see two main investment implications. First, AI is moving from a product feature toward a revenue driver. The next evidence should come from higher personal ARPPU, stronger paid conversion, migration toward higher WPS365 tiers and clearer AI usage revenue. Second, Microsoft validates both the opportunity and the competitive benchmark. KSO's current advantage comes from local deployment, distribution and enterprise penetration. Its longer-term advantage will depend on whether it turns these assets into persistent context, workflow ownership and recurring AI consumption.

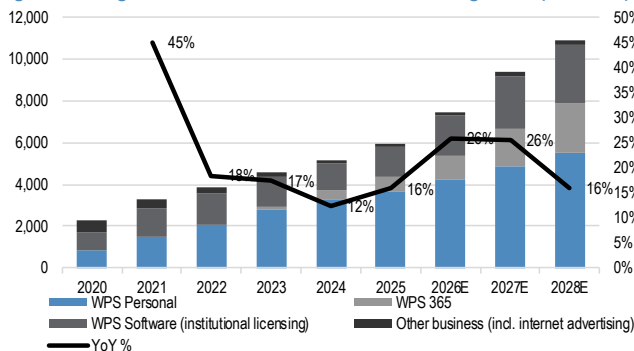
Financial quality and cash flow: strong self-funding capacity with early operating leverage

Kingsoft Office enters the AI investment cycle with a strong financial base. Revenue increased 24.7% YoY to Rmb3.3bn in 1H26 and adjusted attributable net profit rose 28.3% to Rmb1.1bn. Revenue growth running ahead of R&D and adjusted earnings growing faster than revenue provide early evidence of operating leverage despite continued investment in AI. This starting point is important because Kingsoft Office can fund product development and inference spending from an existing profitable subscription franchise. The company does not need external capital to sustain AI investment, while growth in personal subscriptions and WPS365 provides room for the fixed component of R&D to scale more efficiently.

AI also changes the quality of incremental earnings. Traditional software carries relatively limited usage-linked costs, while AI introduces model and inference spending that increases with consumption. Revenue reacceleration should ultimately translate into incremental gross profit, operating leverage and stronger FCF per share for AI monetization to create durable shareholder value. Operating cash flow was Rmb643mn in 1H26, down 13.0% YoY despite strong adjusted earnings growth. Management attributed the decline mainly to employee spending, tax payments and prepaid income tax associated with unrealized investment gains, and indicated that operating cash flow increased after adjusting for the investment-related tax effect. We would assess cash conversion over a multi-period horizon, with normalized CFO and FCF relative to adjusted earnings among the key indicators.

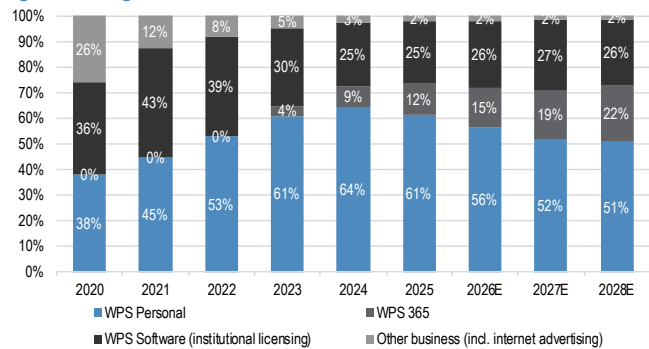
Reported attributable net profit of Rmb2.5bn in 1H26 was also materially affected by approximately Rmb1.9bn of investment gains. Capital allocation is gradually becoming more supportive. The cash dividend for 2025 increased to approximately Rmb580mn, or Rmb1.2 per share, from approximately Rmb416mn for 2024, representing roughly 39% growth in the total distribution. The company also completed approximately Rmb100mn of share repurchases in 2024, although the shares were primarily designated for employee equity incentives. The dividend yield remains modest at the current valuation, making capital returns an incremental support to total shareholder return while earnings and FCF growth remain the primary drivers.

Figure 5: Kingsoft Office revenue forecasts & YoY growth (Rmb mn)



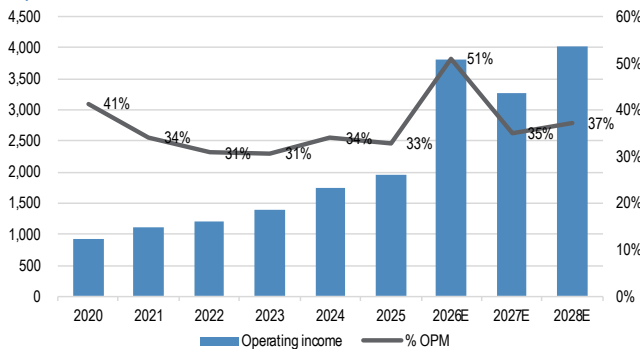
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 6: Kingsoft Office revenue mix breakdown



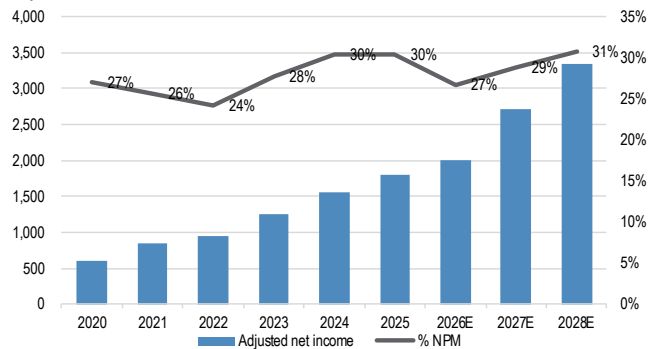
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 7: Kingsoft Office operating profit & % operating margin (Rmb mn)



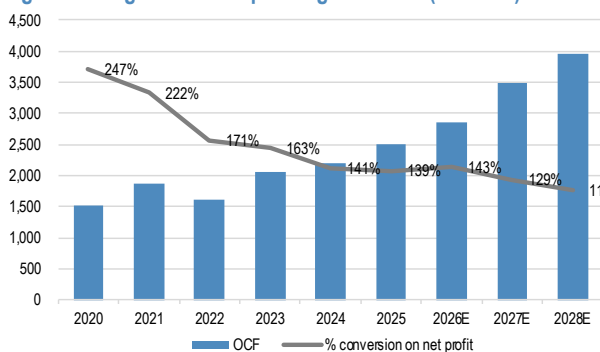
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 8: Kingsoft Office adjusted net profit & % net margin (Rmb mn)



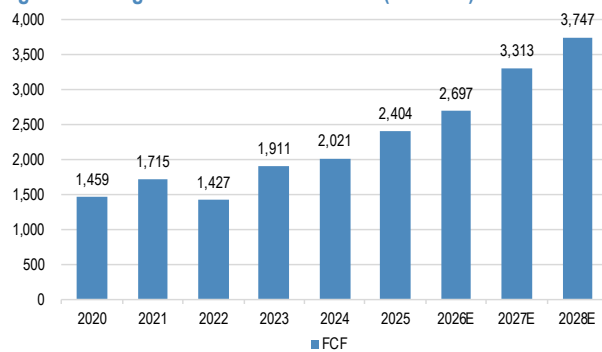
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 9: Kingsoft Office operating cash flow (Rmb mn)



Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 10: Kingsoft Office free cash flow (Rmb mn)



Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Table 1: Kingsoft Office's P&L

Rmb mn	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	2,261	3,280	3,885	4,556	5,121	5,929	7,460	9,368	10,862
YoY growth	43.1%	45.1%	18.4%	17.3%	12.4%	15.8%	25.8%	25.6%	16.0%
Cost of revenue	278	429	583	670	761	833	1,111	1,346	1,521
Gross profit	1,983	2,851	3,302	3,886	4,360	5,096	6,349	8,021	9,341
Gross margin	87.7%	86.9%	85.0%	85.3%	85.1%	85.9%	85.1%	85.6%	86.0%
Operating expenses and other operating items									
Taxes and surcharges	(23)	(35)	(35)	(37)	(49)	(65)	(70)	(94)	(109)
Selling and marketing expenses	(483)	(695)	(818)	(967)	(991)	(1,140)	(1,387)	(1,655)	(1,862)
General and administrative expenses	(213)	(326)	(392)	(444)	(403)	(474)	(608)	(726)	(816)
Research and development expenses	(711)	(1,082)	(1,331)	(1,472)	(1,696)	(2,095)	(2,560)	(2,957)	(3,258)
Finance income / (costs), net	9	17	13	95	16	(0)	10	20	22
Other income	118	0	0	1	4	8	7	12	12
Investment income	144	205	339	219	370	465	1,914	480	520
Fair value gains / (losses)	(9)	(1)	(30)	(3)	(18)	(12)	(5)	0	0
Other gains / (losses), net	120	187	148	123	148	164	163	172	180
Operating profit	935	1,121	1,197	1,401	1,741	1,947	3,811	3,274	4,031
Non-operating income / (expense), net	0	(3)	2	(11)	9	6	22	4	4
Profit before tax	936	1,119	1,198	1,390	1,750	1,953	3,833	3,278	4,035
Income tax expense	(49)	(50)	(67)	(75)	(95)	(131)	(407)	(492)	(605)
Net profit	887	1,069	1,131	1,314	1,655	1,822	3,426	2,786	3,430
Minority interests	8	28	13	(3)	10	(15)	0	0	0
Net profit attributable to shareholders	878	1,041	1,118	1,318	1,645	1,836	3,426	2,786	3,430
Less: non-recurring items, net	266	201	179	55	89	34	30	80	80
Recurring net profit (ex non-recurring items)	612	840	939	1,262	1,556	1,803	3,396	2,706	3,350
Less: gains on external fund investments, net of tax	0	0	0	0	0	0	1,400	0	0
Adjusted net profit (company basis, ex fund gains)	612	840	939	1,262	1,556	1,803	1,995	2,706	3,350
Weighted average shares (mn)	462.2	460.9	461.8	460.7	462.1	462.6	463.9	464.0	464.0
EPS	1.90	2.26	2.42	2.86	3.56	3.97	7.39	6.00	7.39
Recurring EPS	1.32	1.82	2.03	2.74	3.37	3.90	7.32	5.83	7.22
DPS declared	0.60	0.65	0.70	0.73	0.88	1.25	1.29	1.87	2.31

Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Table 2: Kingsoft Office's balance sheet

Rmb mn	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Assets									
Current assets									
Cash and cash equivalents	1,004	1,254	7,015	3,478	898	694	2,812	5,526	8,406
Financial assets at fair value through P&L	6,625	6,942	1,192	2,571	1,384	1,717	1,717	1,717	1,717
Trade and notes receivable	400	415	500	569	510	641	797	1,001	1,146
Prepayments	8	26	28	22	14	21	26	33	38
Other receivables	41	36	27	50	70	81	97	122	136
Inventories	1	2	1	1	1	0	0	0	0
Current portion of non-current assets	0	0	0	1,155	77	3,910	5,441	5,825	6,241
Other current assets	8	19	1,012	2,301	3,151	4,141	4,141	4,141	4,141
Total current assets	8,088	8,694	9,775	10,147	6,105	11,206	15,032	18,365	21,826
Long-term equity investments	36	123	444	1,094	1,563	1,708	1,708	1,708	1,708
Property, plant and equipment	62	88	82	69	297	453	494	546	595
Construction in progress	0	0	121	248	135	0	0	0	0
Right-of-use assets	0	99	107	71	43	38	38	38	38
Intangible assets	59	118	102	87	79	73	69	65	65
Goodwill	185	185	185	185	185	185	185	185	185
Long-term prepaid expenses	13	13	28	46	49	37	37	37	37
Deferred tax assets	16	19	21	41	35	38	38	38	38
Other non-current assets	54	1,086	1,192	1,986	7,422	4,418	4,418	4,418	4,418
Total non-current assets	423	1,732	2,282	3,827	9,808	6,950	6,987	7,034	7,083
Total assets	8,512	10,426	12,058	13,974	15,913	18,156	22,019	25,399	28,909
Liabilities and equity									
Current liabilities									
Trade and notes payable	140	212	306	453	446	496	639	756	833
Contract liabilities	833	1,421	1,731	1,892	2,136	2,599	3,311	4,209	4,940
Employee benefits payable	250	360	394	464	481	551	661	774	861
Taxes payable	112	55	46	70	80	119	149	187	217
Other payables	49	91	98	104	117	84	104	131	152
Current portion of non-current liabilities	0	40	66	37	96	22	22	22	22
Other current liabilities	53	88	109	134	107	72	72	72	72
Total current liabilities	1,438	2,268	2,750	3,154	3,462	3,942	4,958	6,151	7,097
Lease liabilities	0	75	69	42	17	15	15	15	15
Deferred tax liabilities	14	16	27	43	51	86	86	86	86
Deferred income	84	67	44	10	2	12	12	12	12
Other non-current liabilities	85	221	369	706	943	1,248	1,248	1,248	1,248
Total non-current liabilities	183	378	509	801	1,014	1,361	1,361	1,361	1,361
Total liabilities	1,621	2,645	3,259	3,954	4,476	5,302	6,319	7,512	8,457
Shareholders equity									
Share capital	461	461	461	462	463	463	463	463	463
Capital reserve	4,642	4,748	4,942	5,178	5,441	5,473	5,473	5,473	5,473
Less: treasury shares	0	0	0	0	(100)	(44)	(44)	(44)	(44)
Other comprehensive income	(1)	(4)	11	15	20	5	5	5	5
Surplus reserve	72	107	153	201	231	232	232	232	232
Retained earnings	1,681	2,408	3,157	4,093	5,301	6,725	9,571	11,759	14,323
Equity attributable to shareholders	6,855	7,720	8,724	9,949	11,356	12,853	15,700	17,887	20,451
Minority interests	36	61	74	71	81	0	0	0	0
Total equity	6,891	7,780	8,798	10,020	11,437	12,853	15,700	17,887	20,451

Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Table 3: Kingsoft Office's cash flow statement

Rmb mn	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating activities									
Net profit	887	1,069	1,131	1,314	1,655	1,822	3,426	2,786	3,430
Depreciation	36	44	50	47	44	48	63	80	92
Amortization	11	23	33	34	28	41	48	61	65
Share-based compensation							0	0	0
Non-cash investment gains							(1,531)	(384)	(416)
Changes in working capital	586	727	359	322	324	440	840	957	782
Changes in other operating assets and liabilities	(5)	1	30	341	144	151	0	0	0
Net cash from operating activities	1,514	1,864	1,603	2,058	2,196	2,502	2,846	3,500	3,953
Investing activities									
Capex - property, equipment and other long-term assets	(55)	(149)	(176)	(147)	(175)	(98)	(104)	(131)	(141)
Capex - intangibles (forecast split)	0	0	0	0	0	0	(45)	(56)	(65)
Changes in investments and other non-current assets	(1,061)	(1,215)	4,678	(5,063)	(4,099)	(1,869)	0	0	0
Net cash used in investing activities	(1,116)	(1,364)	4,502	(5,210)	(4,274)	(1,967)	(149)	(187)	(206)
Financing activities									
Dividends paid	(138)	(299)	(323)	(337)	(406)	(482)	(579)	(599)	(866)
Changes in borrowings, leases, equity and other financing items	(3)	52	(32)	(48)	(94)	(253)	0	0	0
Net cash from financing activities	(141)	(247)	(354)	(385)	(501)	(735)	(579)	(599)	(866)
Effect of exchange rate changes	(2)	(3)	11	(2)	(0)	(3)	0	0	0
Net increase / (decrease) in cash	255	250	5,762	(3,539)	(2,579)	(203)	2,118	2,714	2,881
Cash and cash equivalents at beginning of period	749	1,004	1,254	7,015	3,477	897	694	2,812	5,526
Cash and cash equivalents at end of period	1,004	1,254	7,015	3,477	897	694	2,812	5,526	8,406

Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Valuation: earnings upside supports a historically persistent premium

We assume coverage at Overweight with a Rmb325 price target, based on 45x 2028E P/E, anchored to the company's historical growth-to-valuation relationship. During 2022-25, Kingsoft Office delivered a c.15% revenue CAGR and high-teens reported earnings growth, while typically trading at c.60-80x one-year forward P/E. Consensus currently expects revenue to grow at a c.18% CAGR in 2026-28E, with normalized earnings growing at a broadly similar pace, leaving the medium-term growth profile at least comparable with the historical period. Given our target-date horizon, 2028E should increasingly represent the market's next-year earnings base, making the comparison with historical one-year forward P/E particularly relevant. Our 45x multiple therefore represents a meaningful discount to Kingsoft Office's historical forward valuation despite a similar or modestly stronger underlying growth trajectory.

We believe the discount appropriately reflects a larger earnings base and the still-evolving economics of AI monetization, while WPS 365 and enterprise AI provide potential support for a longer growth duration. WPS 365 has sustained >60% revenue growth for multiple quarters, and AI could deepen monetization through higher-value enterprise subscriptions and potentially usage-based revenue over time. At the same time, the magnitude of incremental willingness to pay, inference costs and competitive pressure from general-purpose agents remain important variables. We therefore view 45x 2028E P/E as giving partial credit to AI-driven growth duration while requiring further evidence before returning toward the company's historical 60-80x forward range. Sustained 20%+ revenue and earnings growth with improving AI monetization would create room for further multiple expansion.

Table 4: JPMe versus consensus

YE 31 Dec	FY2026			FY2027		
Figures in Rmb mn	JPMe	Consensus	% delta	JPMe	Consensus	% delta
Net revenues	7,460	7,095	5%	9,368	8,436	11%
WPS Personal	4,202			4,871		
WPS 365	1,154			1,782		
WPS Software (institutional licensing)	1,956			2,553		
Other business (incl. internet advertising)	147			162		
Gross profit	6,349	6,113	4%	8,021	6,779	18%
Selling and distribution expenses	(1,387)			(1,655)		
R&D expenses	(2,560)			(2,957)		
G&A expenses	(608)			(726)		
Operating profit	1,793	2,813	-36%	2,683	2,672	0%
PBT	3,833	3,430	12%	3,278	2,915	12%
Net income	3,426	3,176	8%	2,786	2,776	0%
Net income, adjusted	3,396	3,078	10%	2,706	2,662	2%
EPS (Rmb/share)	7.4	6.4	16%	6.0	5.8	3%
Adjusted EPS (Rmb/share)	7.3	6.6	11%	5.8	5.8	1%
Margin analysis (%)						
Gross margin	85.1%	86.2%	-1.1%	85.6%	80.4%	5.3%
Operating margin	24.0%	39.6%	-15.6%	28.6%	31.7%	-3.0%
Net margin	45.9%	44.8%	1.2%	29.7%	32.9%	-3.2%
Net margin, adjusted	45.5%	43.4%	2.1%	28.9%	31.6%	-2.7%

Source: Bloomberg Finance L.P. estimates (data as of Sep 21, 2026), J.P. Morgan estimates.

Historical share price analysis: rerating followed new growth engines; earnings delivery determines their durability

Rapid personal subscription growth and strong Xinchuang demand drove a substantial rerating through early 2021 as investors capitalized two visible growth engines at a high multiple. Generative AI created another rerating in late 2022 and 2023. The shares more than doubled from late November 2022 to their early April 2023 peak before AI made a material contribution to reported revenue. During 2024-25, investor focus increasingly shifted from AI capability toward commercialization. As generative functionality became more widely available, product launches alone provided less differentiation and investors focused increasingly on paid conversion, WPS365 growth and the potential contribution of AI to earnings. **We believe the current phase is increasingly earnings-driven.** Personal revenue has reaccelerated, paid-user growth materially exceeds MAU growth, WPS365 revenue growth remains above 60% and adjusted earnings are growing faster than revenue.

Figure 11: Historical stock price analysis



Source: Bloomberg Finance L.P. (data as of Sep 21, 2026), J.P. Morgan.

Risks and catalysts

The main risks to our Overweight rating relate to the pace and quality of AI monetization. WPS already has broad distribution and strong AI usage growth. The investment case now depends on whether this usage lifts customer spending, deepens workflow ownership and adds gross profit. We see four main risks: personal monetization could mature earlier than expected, WPS365 growth could slow faster, competition could shift the user interface away from WPS, and higher AI usage could weaken margins if pricing does not keep pace with inference costs. The current valuation increases the impact of any earnings disappointment.

- **Personal monetization may slow before AI creates a meaningful new revenue layer.** Paid individual users increased 15.4% YoY in 1H26, far ahead of 3.9% MAU growth, while personal revenue increased 15.2%. Our estimates assume

that paid conversion, membership mix and AI usage can support mid-teens growth even as the user base matures. Growth could slow faster if paid penetration reaches a ceiling, users show limited willingness to pay separately for AI or more AI features become part of the standard subscription. In that case, AI may support retention and engagement while adding less ARPPU than we expect.

- **WPS365 growth may normalize faster as the base becomes larger.** WPS365 has delivered more than 60% growth for six consecutive quarters, which creates tougher comparisons from here. Our forecasts assume continued enterprise SaaS penetration, higher-value package upgrades and broader Comate adoption. These drivers could take longer to scale because enterprise AI often requires integration with internal data, permissions and business systems. Slower NRR, weaker package upgrades or limited conversion from Comate pilots into recurring production use would reduce the medium-term growth runway. Limited disclosure around AI attach rates and usage revenue also makes this transition harder to track.
- **Competition could weaken WPS's control of the customer interface.** Foundation models and general-purpose agents can already perform more writing, research, presentation and spreadsheet tasks outside a traditional Office interface. Microsoft is the strongest long-term benchmark because Copilot combines model intelligence with Word, Excel, PowerPoint, Outlook, Teams, identity and enterprise data. KSO currently benefits from local deployment, Xinchuang compatibility and strong exposure to domestic government and enterprise customers. This advantage could narrow as Microsoft improves its China offering or as domestic agents gain better access to document tools through APIs. WPS could still provide the execution layer in this scenario, while capturing a smaller share of the user relationship and AI spending.
- **AI usage must translate into attractive incremental margins and cash flow.** Traditional productivity software has low variable costs. AI introduces model and inference costs that rise with usage. Kingsoft Office's move toward "subscription + AI usage" and "seat + AI usage" can protect unit economics if customer spending grows faster than intelligence costs. Falling model prices should also help. Margin pressure could still emerge if AI usage is heavily bundled, usage-based charging develops slowly or agent workloads consume much more compute than expected. We would therefore focus on AI revenue, gross margin trends and normalized CFO/FCF rather than token growth alone. The decline in operating cash flow in 1H26 also makes cash conversion an important confirmation point.

Valuation increases the sensitivity to these risks. The main upside catalysts are continued mid-teens personal revenue growth, paid-user growth above MAU, stronger ARPPU, WPS365 revenue growth above expectations, higher migration into AI-enabled packages, wider Comate production adoption and clearer disclosure of AI usage revenue. Evidence that AI usage is generating attractive incremental gross profit would be especially important, as it would move the thesis from higher engagement toward a measurable new earnings pool. Stronger CFO/FCF conversion and further consensus earnings upgrades would provide additional support.

Investment Thesis, Valuation and Risks

Beijing Kingsoft Office Software, Inc. - A (Overweight; Price Target: Rmb325.00)

Investment Thesis

We rate Kingsoft Office Overweight as WPS combines large-scale distribution, document context and ownership of recurring knowledge-work workflows. AI can expand the addressable pool beyond document editing towards research, writing, presentation, collaboration and information processing, while falling model costs should reduce the cost of delivering these capabilities. We believe WPS's installed user base provides a strong distribution advantage as intelligence becomes increasingly interchangeable. Continued WPS365 revenue growth and AI paid conversion would demonstrate that broader AI usage is translating into incremental customer spending and gross profit, supporting sustained earnings growth and a premium valuation.

Valuation

Our Dec-27 PT of Rmb325 is based on 45x 2028E P/E. We apply a target multiple of 45x, which is at a premium to other application peers, to reflect Kingsoft Office's superior profitability, cash generation, and growth durability, as well as its differentiated distribution and workflow ownership in knowledge work.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: slower-than-expected progress in software localization, and slower-than-expected growth of paying subscribers.

Key upside risks include: faster-than-expected execution on software localization, and faster-than-expected monetization on coordination applications.

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Asia Pacific Equity Research
23 September 2026

J.P.Morgan

Beijing Kingsoft Office Software, Inc. - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	5,121	5,929	7,460	9,368	10,862	Cash flow from operating activities	2,196	2,502	2,846	3,500	3,953
COGS	(761)	(833)	(1,111)	(1,346)	(1,521)	o/w Depreciation & amortization	72	89	112	141	158
Gross profit	4,360	5,096	6,349	8,021	9,341	o/w Changes in working capital	324	440	840	957	782
SG&A	(1,394)	(1,613)	(1,996)	(2,381)	(2,678)	Cash flow from investing activities	(4,274)	(1,967)	(149)	(187)	(206)
EBITDA	1,813	2,036	3,923	3,414	4,189	o/w Capital expenditure	(175)	(98)	(149)	(187)	(206)
D&A	(72)	(89)	(112)	(141)	(158)	as % of sales	3.4%	1.7%	2.0%	2.0%	1.9%
EBIT	1,741	1,947	3,811	3,274	4,031	Cash flow from financing activities	(501)	(735)	(579)	(599)	(866)
Net Interest	-	-	-	-	-	o/w Dividends paid	(406)	(482)	(579)	(599)	(866)
PBT	1,750	1,953	3,833	3,278	4,035	o/w Shares issued/(repurchased)	-	-	-	-	-
Tax	(95)	(131)	(407)	(492)	(605)	o/w Net debt issued/(repaid)	(94)	(253)	0	0	0
Minority Interest	(10)	15	0	0	0	Net change in cash	(2,579)	(203)	2,118	2,714	2,881
Net Income	1,556	1,803	3,396	2,706	3,350	Adj. Free cash flow to firm	2,021	2,404	2,697	3,313	3,747
EPS	3.37	3.90	7.32	5.83	7.22	y/y Growth	5.8%	19.0%	12.2%	22.8%	13.1%
DPS	0.88	1.25	1.29	1.87	2.31						
Payout ratio	24.7%	31.5%	17.5%	31.1%	31.3%						
Shares outstanding	462	463	464	464	464						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	898	694	2,812	5,526	8,406	Gross margin	85.1%	85.9%	85.1%	85.6%	86.0%
Accounts receivable	510	641	797	1,001	1,146	EBITDA margin	35.4%	34.3%	52.6%	36.4%	38.6%
Inventories	1	0	0	0	0	EBIT margin	34.0%	32.8%	51.1%	34.9%	37.1%
Other current assets	4,696	9,871	11,423	11,838	12,274	Net profit margin	30.4%	30.4%	45.5%	28.9%	30.8%
Current assets	6,105	11,206	15,032	18,365	21,826	ROE	14.6%	14.9%	23.8%	16.1%	17.5%
PP&E	297	453	494	546	595	ROA	10.4%	10.6%	16.9%	11.4%	12.3%
LT investments	1,563	1,708	1,708	1,708	1,708	ROCE	15.5%	15.0%	23.9%	16.6%	17.9%
Other non current assets	7,949	4,789	4,785	4,780	4,780	SG&A/Sales	27.2%	27.2%	26.7%	25.4%	24.7%
Total assets	15,913	18,156	22,019	25,399	28,909	Net debt/Equity	-	-	-	-	-
Short term borrowings	-	-	-	-	-	Net debt/EBITDA	-	-	-	-	-
Payables	446	496	639	756	833	Sales/Assets (x)	0.3	0.3	0.4	0.4	0.4
Other short term liabilities	3,016	3,446	4,319	5,395	6,263	Assets/Equity (x)	1.4	1.4	1.4	1.4	1.4
Current liabilities	3,462	3,942	4,958	6,151	7,097	Interest cover (x)	-	-	-	-	-
Long-term debt	-	-	-	-	-	Operating leverage	196.1%	74.9%	370.7%	(55.2%)	145.1%
Other long term liabilities	1,014	1,361	1,361	1,361	1,361	Tax rate	5.4%	6.7%	10.6%	15.0%	15.0%
Total liabilities	4,476	5,302	6,319	7,512	8,457	Revenue y/y Growth	12.4%	15.8%	25.8%	25.6%	16.0%
Shareholders' equity	11,356	12,853	15,700	17,887	20,451	EBITDA y/y Growth	22.5%	12.3%	92.7%	(13.0%)	22.7%
Minority interests	81	0	0	0	0	EPS y/y Growth	22.9%	15.7%	87.9%	(20.3%)	23.8%
Total liabilities & equity	15,913	18,156	22,019	25,399	28,909						
BVPS	7.52	1.94	1.50	6.06	11.91						
y/y Growth	(50.6%)	(74.2%)	(22.9%)	305.0%	96.5%						
Net debt/(cash)	-	-	-	-	-						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	67.3	58.2	31.0	38.9	31.4						
P/BV (x)	30.1	116.8	151.4	37.4	19.0						
EV/EBITDA (x)	58.0	51.7	26.3	29.4	23.3						
Dividend Yield	0.4%	0.6%	0.6%	0.8%	1.0%						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Beijing Kingsoft Office Software, Inc. - A (688111.SS, 688111 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
18-Oct-23	N	362.50	310
27-Oct-23	N	305.50	300
21-Aug-24	UW	191.15	130

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 31, 2021. All share prices are as of market close on the previous business day.

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